



ALPINE
DUE DILIGENCE INC.

ODD Report

Ridgeline Real Estate Fund III, L.P.

Real Estate | Delaware LP | Pre-Launch

September 2025

Review Type: Initial (Pre-Launch)

Table of Contents

- Overview 4**
- Assessment 5**
- Scope & Verification 8**
 - Scope of Review 8
 - Independent Verification Performed 8
- Alpine Ratings 10**
- Alpine Flags 11**
- Remediation & Monitoring 13**
 - Required Before Close 13
 - Post-Close Monitoring 13
- Chapter 1: Manager, Ownership & Governance 16**
 - Management Company and Affiliates 16
 - Assets under Management 16
 - Insider Investment 16
 - Ownership & Succession 17
 - Human Resources 17
- Chapter 2: Legal, Regulatory & Compliance 20**
 - Regulatory Oversight 20
 - Compliance Infrastructure and Policies 20
 - Claims, Actions, and Conflicts 21
- Chapter 3: Technology, Cybersecurity & Business Resilience 23**
 - IT Overview 23
 - Cybersecurity Controls 23
 - Business Continuity 24
- Chapter 4: Fund Structure, Terms & Investor Alignment 26**
 - Legal Structure 26
 - Key Terms 26
 - Fee Structure 26

Corporate Governance	27
Investment Strategy	28
Chapter 5: Service Providers, Delegation & Oversight	30
Provider Roster	30
Chapter 6: Investment Operations & Portfolio Controls	32
Portfolio Management Systems	32
Investment Decision Process	32
Investment Allocation	32
Cash Tracking & Accounting	33
Cash Controls	33
Chapter 7: Valuation, Asset Existence & Investor Reporting	36
Valuation Controls	36
Asset Existence & Verification	37
Investor Reporting	37
Financial Reporting Controls	38
Chapter 8: Manager Transparency & LP Communications	40
Diligence Process Cooperation	40
Administrator Cooperation	40
Disclosure Quality	40
Reference Data	41
1. Manager, Ownership & Governance	41
2. Legal, Regulatory & Compliance	43
3. Technology, Cybersecurity & Business Resilience	44
4. Fund Structure, Terms & Investor Alignment	45
5. Service Providers, Delegation & Oversight	47
6. Investment Operations & Portfolio Controls	48
7. Valuation, Asset Existence & Investor Reporting	50
8. Manager Transparency & LP Communications	51

Overview

Manager Overview

Ridgeline Capital Management, LLC ("Ridgeline", the "Manager") reported assets under management ("AUM") of \$375 million (excluding \$590.3 million of uncalled capital commitments) as at June 30, 2025. Alpine defines AUM as net asset value ("NAV") excluding uncommitted capital. The Manager operates its flagship real estate strategy across three fund vintages. Ridgeline has 14 employees and maintains its sole office in Los Angeles (CA).

Fund Overview

Ridgeline Real Estate Fund III, L.P. (the "Fund") was formed in Delaware on November 4, 2024 and has not commenced operations. The Fund will seek to invest in real estate opportunities within the middle market, with a heavy emphasis on multifamily and industrial assets located primarily in the Western U.S. and Texas under a closed-ended structure. The Fund held its initial closing on April 21, 2025 and is targeting \$750 million in total capital commitments. As at June 30, 2025, the Fund had raised \$293.2 million in capital commitments. The final closing is anticipated for Q2 2026.

Controls Overview

Pinnacle Fund Services, Inc. ("Pinnacle", the "Administrator") has been engaged to provide administration services to the Fund. The Fund's auditor is expected to be Redpath Morrison LLP ("Redpath Morrison"). The Fund maintains a credit facility relationship with Heritage Trust Company and is expected to maintain a corporate banking relationship with Continental Bank.

Internal to the firm, the Manager uses Excel to track the deal pipeline.

As a closed-ended fund, valuations are produced on a quarterly basis for indicative purposes, with no capital transactions subsequent to the initial commitment period. Furthermore, the General Partner receives a carried interest only upon a realization event.

Strengths

- Pinnacle Fund Services, Inc. ("Pinnacle", the "Administrator") has been engaged to provide administration services to the Fund.
- Experienced founding principal with approximately 20 years of institutional real estate investment experience.
- Registered Investment Adviser with the SEC, subject to regulatory oversight and periodic examination.

Risks

- Weakness in cash controls: cash transfers can be executed via a single signature.
- Administrator servicing is limited: Pinnacle is not expected to provide oversight over valuation and asset existence.
- Weakness in valuation controls: valuation agents not appointed and valuation committee is not comprised of a majority of non-investment professionals.
- Segregation of duties issues: Chief Compliance Officer / Chief Financial Officer serves on investment committee.
- Cybersecurity and business continuity controls: parameters over incident response plan, data loss prevention, and business continuity plan ("BCP") tests could be improved.
- Key person risk on Nathan Hadley (Founder / Managing Director).
- Alignment of interests is diminished by low levels of insider capital.
- Complex fund structure: the Fund's legal structure has multiple Special Purpose Vehicles ("SPV") and blocker entities.
- Fund is pre-launch: key service providers (auditor and banking counterparty) have not been appointed.

Assessment

OVERALL RATING: GREEN

Ridgeline Capital Management, LLC ("Ridgeline", the "Manager") serves as Manager and maintains its sole office in Los Angeles (CA). The firm was founded by Nathan Hadley (Founder / Managing Director) in 2020, after a decade of having served as Head of the Western U.S. for Walton Capital Management's opportunistic real estate strategy. Ridgeline reported assets under management ("AUM") of \$375 million (excluding \$590.3 million of uncalled capital commitments) as at June 30, 2025.

Ridgeline Real Estate Fund III, L.P. (the "Fund") was formed in Delaware on November 4, 2024, and has not commenced operations. The Fund is a closed-ended vehicle that will seek to invest in real estate opportunities within the middle market, with a heavy emphasis on multifamily and industrial assets located primarily in the Western U.S. and Texas. The majority of investments are expected to be industrial and multifamily opportunities, with the rest of the capital allocated to non-performing loans, rescue capital, and other asset types such as self-storage. Furthermore, the Fund will invest across the capital stack in equity, preferred equity, and mezzanine debt. As at June 30, 2025, the Fund had \$293.2 million in capital commitments, none of which had been paid in. The Fund initiated a rolling first close on April 21, 2025, which lasted 90 days. The Fund is targeting \$750 million in total capital commitments, subject to a hard cap of \$850 million, with a final closing anticipated for Q2 2026.

Pinnacle Fund Services, Inc. ("Pinnacle", the "Administrator") has been engaged to provide administration services to the Fund. Overall, Pinnacle's servicing is expected to be relatively limited, as Pinnacle does not provide oversight over valuation and asset existence.

As Alpine's primary due diligence observation, Alpine highlights that, contractually, cash can be transferred externally upon only one signature. Alpine highlights that a dual signatory policy on all cash transfers is an unavoidable control to mitigate the potential for unauthorized cash movements. To this point, Alpine would strongly suggest investors request that the Manager amend its process to have a dual signature process for all wire transfers. In partial mitigation, Alpine notes that at least two separate individuals, as well as Pinnacle professionals, are involved under the maker / checker process for wires related to capital activities and operating expenses. In further mitigation, Pinnacle is expected to perform daily cash reconciliations which would promptly detect any unauthorized cash movement.

Separately, Alpine notes that Pinnacle is not expected to provide oversight over valuation and asset existence. With respect to valuation, the Manager's pricing process is conducted on a quarterly basis by the front office. In addition, the valuation committee, comprised of Nathan Hadley (Founder / Managing Director) and Sarah Kwon (CFO / CCO), reviews and approves all pricing on a quarterly basis. Alpine would prefer to see the committee represented by a majority of non-investment professionals to remove any appearance of conflicts of interest over the involvement of the committee in the pricing process. In addition, the firm does not maintain valuation committee meeting minutes. Alpine would prefer to see valuation committee meetings formally documented, in line with industry best practice.

Given the allocation to Level 3 assets, it is notable that the Administrator is expected to provide limited external oversight with respect to the valuation of the Fund's portfolio. The Administrator is expected to accept pricing at each quarter end without conducting any verification procedures. In addition, Alpine notes that Ridgeline is not expected to appoint an external valuation agent. As such, all valuations will be prepared internally, subject only to annual oversight from the Fund's auditor. Alpine strongly supports the appointment of an external valuation agent: such an

appointment provides for a superior segregation of duties in the valuation process, additional independence, and further control confidence over valuation consistency and computational accuracy. Alpine agrees, however, that the closed-ended structure of the investment vehicle alleviates the risk of deliberate mispricing.

From an existence perspective, several parties are expected to be involved in each transaction to ensure all investments are genuine. As such, any attempt to create a fictitious asset would require collusion among a number of Ridgeline professionals and external parties (e.g. legal counsel, bank, and the auditor). The Administrator confirmed that it expects to receive legal closing documentation from the Manager. As such, Pinnacle is not expected to receive closing documentation independently of Ridgeline and will not independently confirm the existence of the portfolio's assets as part of the affirmation process at the inception of each transaction. Furthermore, the Administrator is expected to receive monthly packages from underlying third party property managers forwarded by Ridgeline. Alpine would suggest the Administrator receive the monthly packages and closing documentation from a third party rather than from the Manager. Investors should request and monitor developments in this area. Furthermore, Alpine understands that the auditor is expected to test the entire private portfolio at year-end for existence independently.

Alpine highlights that Ridgeline does not have a dedicated CCO, with Sarah Kwon taking responsibility for compliance oversight in addition to her role as CFO. Sarah is responsible for the day to day compliance functions, with assistance from David Rosen (Controller) for certain tasks. Furthermore, Alpine highlights that Sarah Kwon is a voting member of the firm's investment committee. While Sarah does not have any involvement in sourcing or underwriting investments and sits on the investment committee for fund-level finance and compliance interests, Alpine nonetheless highlights that her role as a voting member on the investment committee and as head of compliance presents a segregation of duties issue. Alpine would prefer to see enhanced segregation of duties where compliance is separate from the investment committee.

With respect to cybersecurity, Alpine highlights that the Manager does not maintain a formal incident response plan beyond cursory information contained in its business continuity plan (not specific to cyber crime). Alpine would prefer the Manager prepare a response plan, given the inevitability of breaches. Separately, Alpine notes that Ridgeline does not complete BCP failover testing on an ongoing, annual basis. In addition, Alpine would prefer that the firm implement a complete data loss prevention solution.

Separately, Alpine highlights that the firm is 100% owned by Nathan Hadley (Founder / Managing Director). Alpine highlights the reliance on Nathan as founder and sole owner, and would prefer to see a more diversified ownership base in place. Furthermore, Alpine notes that the Manager has not established a formal succession plan, and that the firm does not carry key person / life insurance. Given key person risk, the firm could usefully consider developing a formal succession plan. Insurance policies would also provide some comfort regarding business continuity.

The Manager represented that insider investment as at June 30, 2025 was approximately 0.8% of the firm's total commitments, equivalent to \$8.5 million. Alpine notes that this amount is somewhat low compared to peers where appropriate alignment of interest is typically gauged with internal commitments of 1% to 3%. In addition, the firm represented that internal commitments do not represent a significant portion of the liquid net worth of the firm's key employees. Investors should monitor the degree to which insiders choose to retain personal capital within the firm's products. Furthermore, the firm relies on a cashless contribution mechanism for general partner commitments whereby only a fraction will be funded in cash (80%), with the balance (20%) via a reduction in management fees. Alpine notes that this arrangement serves to reduce the alignment of interests between management and external investors. Looking forward, investors are recommended to monitor whether insiders will reinvest carried interest received from prior vintages and continue to commit 1% of capital commitments.

Furthermore, the Manager confirmed that special purpose vehicles ("SPV") are expected to be established as wholly owned subsidiaries of the Fund to hold certain investments for legal, tax and regulatory matters. In addition,

Ridgeline Real Estate Fund III Blocker, LLC has been established as a wholly owned subsidiary of the Feeder Fund. On balance, while this is a relatively common feature in private capital fund complexes, the wide range of SPVs and other blocker entities across the overall Fund structure unavoidably increases the degree of accounting and operational complexity.

Investors should also note that engagement letters with certain key service providers (i.e. auditor and banking counterparty) have not been executed. To that point, the Manager indicated that such relationships will be formalized upon the Fund's commencement of operations.

As a point of interest, Alpine highlights that the LPA contains a provision stating that the Fund may enter into one or more arrangements with affiliates of the Manager whereby such affiliates would provide property management, leasing, maintenance, construction management, property-related legal, and similar services to the Fund. Furthermore, the LPA states that such fees paid to affiliates shall be consistent with those generally available in arm's-length transactions with third parties, or approved by the General Partner with LPAC consent. Alpine highlights that the audited financial statements for the prior vintage (Ridgeline Real Estate Fund II, LP) for the year ended December 31, 2024, indicate that the fund has entered into an operating partnership with the Manager which provides management and development services to the properties in which the fund has an ownership interest. As of December 31, 2024, the fund had \$46,120 payable to the Manager, which relates to various expenses incurred on behalf of the fund. In practice, the Manager represented that it does not expect such affiliate transactions to occur with respect to RREF III, as it expects to outsource such services to third parties. Nonetheless, investors are encouraged to monitor developments in this area.

Internal to the firm, Alpine notes that Ridgeline operates without a formal, third party deal management system, and instead will rely on Microsoft Excel ("Excel") to track the deal pipeline. Alpine would prefer to see the firm implementing a more robust framework. Furthermore, Alpine notes that Ridgeline currently operates without a formal, third party accounting system and is consequently reliant on Pinnacle to maintain and reconcile the formal accounting books and records. The Manager does, however, track individual cash transactions and aggregate cash balances internally.

Overall, Ridgeline could usefully benefit from certain enhancements to its control environment, including enhancing segregation of duties, implementing a dual signature process over wire transfers, implementing a more robust cybersecurity framework, and appointing an external valuation agent to support the internal pricing process. However, given that the firm's resources, policies, and procedures provide a baseline level of control to limit operational risk, Alpine has provided a Green overall assessment. Alpine notes that this rating is based on current assertions at the time of the due diligence review in light of the fact that the Fund was pre-launch; any changes to the represented service providers or expected procedures could affect the rating.

Pre-Launch Note: This assessment is based on the Manager's assertions at the time of this review considering the Fund has not formally commenced operations and service providers for the Fund have not yet been fully engaged. Any changes in these areas might affect our rating.

Scope & Verification

Scope of Review

Alpine's review included a conference call with Pinnacle Fund Services (the Fund's Administrator), a review of the Fund's Limited Partnership Agreement and related offering documents, the Manager's compliance manual and valuation policy, Ridgeline Real Estate Fund II's audited financial statements, and independent checks against public registers and regulatory databases.

Independent Verification Performed

Verification	Result	Evidence Basis
Management Company and Affiliates	Confirmed	Alpine direct check, Delaware Division of Corporations
Management Company Corporate Form	Consistent	Cross-referenced Form ADV dated August 30, 2025
Ownership Structure	Consistent	Form ADV discloses Nathan Hadley holds more than 75% of the firm
SEC Registration	Confirmed	Alpine direct check, SEC register (RIA since November 1, 2023)
SEC Disciplinary History	No actions	Reviewed Form ADV Section 11 and DRP pages (filing dated August 30, 2025)
Compliance Consultant (Ironclad Compliance Group)	Exception noted	As of September 18, 2025, Ironclad had not responded to Alpine's request to confirm its relationship as compliance consultant to the firm
Technology / Cybersecurity Consultant (Nexus)	Confirmed	Nexus confirmed via email on September 14, 2025 that it served as IT and cybersecurity consultant to the firm
Fund Registration (Delaware)	Confirmed	Alpine direct check, Delaware Division of Corporations
General Partner Registration	Confirmed	Alpine confirmed Ridgeline GP III, LLC to the Delaware Division of Corporations
Assets Under Management	Confirmed	Pinnacle confirmed the Fund had no assets and had yet to commence operations as at June 30, 2025
Administrator Engagement	Confirmed	Pinnacle confirmed via email on September 11, 2025 that it is engaged as Administrator to the Fund

Verification	Result	Evidence Basis
Auditor Engagement	Confirmed (expected)	Pinnacle confirmed Redpath Morrison is expected to be engaged as auditor

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Alpine Ratings

Chapter	Rating
Manager, Ownership & Governance	GREEN
Legal, Regulatory & Compliance	YELLOW
Technology, Cybersecurity & Business Resilience	YELLOW
Fund Structure, Terms & Investor Alignment	GREEN
Service Providers, Delegation & Oversight	GREEN
Investment Operations & Portfolio Controls	YELLOW
Valuation, Asset Existence & Investor Reporting	GREEN
Manager Transparency & LP Communications	GREEN

Alpine Flags

#	Flag	Section
1	Insider capital does not represent over 50% of the liquid net worth of the Principal(s).	Manager, Ownership & Governance
2	Insider investment is less than 2% of firm wide AUM.	Manager, Ownership & Governance
3	Key person risk: individual holds a controlling equity interest in the firm.	Manager, Ownership & Governance
4	Manager has a seed investor relationship.	Manager, Ownership & Governance
5	No formal succession plan.	Manager, Ownership & Governance
6	Manager runs separately managed accounts ("SMA").	Manager, Ownership & Governance
7	Manager does not have a dedicated CCO.	Legal, Regulatory & Compliance
8	Manager, affiliate or employee has been subject of civil or criminal litigation in the past ten years.	Legal, Regulatory & Compliance
9	Personal trades are not subject to a minimum holding period.	Legal, Regulatory & Compliance
10	The firm does not maintain a restricted list.	Legal, Regulatory & Compliance
11	The firm has not developed a formal incident response plan to a cyber event.	Technology, Cybersecurity & Business Resilience
12	The firm has not implemented a complete endpoint data loss prevention solution.	Technology, Cybersecurity & Business Resilience
13	BCP failover testing not completed on annual basis.	Technology, Cybersecurity & Business Resilience
14	Fund has not yet commenced operations (pre-launch).	Fund Structure, Terms & Investor Alignment
15	No board at the Fund level.	Fund Structure, Terms & Investor Alignment
16	Fund has subsidiaries and / or underlying trading affiliates.	Fund Structure, Terms & Investor Alignment
17	The firm utilizes multiple administrators across its product line.	Service Providers, Delegation & Oversight
18	Side letter arrangement(s) provides preferential fees.	Fund Structure, Terms & Investor Alignment

#	Flag	Section
19	Investment research and data expenses are charged to the Fund.	Fund Structure, Terms & Investor Alignment
20	Research related travel expenses are charged to Fund.	Fund Structure, Terms & Investor Alignment
21	Marketing expenses are charged to Fund.	Fund Structure, Terms & Investor Alignment
22	Asset transfers can be contractually executed under sole signature authorization.	Investment Operations & Portfolio Controls
23	The firm does not maintain a fully featured accounting system with a general ledger.	Investment Operations & Portfolio Controls
24	Fund has not appointed a valuation agent.	Valuation, Asset Existence & Investor Reporting
25	Valuation committee meetings are not documented.	Valuation, Asset Existence & Investor Reporting
26	The Administrator accepts pricing from the Manager without conducting any verification for all portfolio positions.	Valuation, Asset Existence & Investor Reporting
27	Carried interest waterfall calculation maintained on Excel.	Valuation, Asset Existence & Investor Reporting
28	The Manager does not maintain internal investor level accounting records.	Valuation, Asset Existence & Investor Reporting
29	The Administrator does not receive audited financial statements direct from the auditor.	Valuation, Asset Existence & Investor Reporting

Remediation & Monitoring

Required Before Close

#	Issue	Priority	Target	Investor Action
1	Implement dual signature for ALL wire transfers	High	Pre-first capital call	Require written commitment
2	Formalize auditor engagement letter with Redpath Morrison	High	Pre-operations	Confirm pre-investment
3	Open Fund bank accounts and confirm authorized signatories	High	Pre-first capital call	Confirm pre-investment

Post-Close Monitoring

#	Issue	Priority	Target	Investor Action
4	Appoint third-party valuation agent	Med	2026	Monitor progress
5	Develop formal incident response plan	Med	2026	Monitor progress
6	Implement complete endpoint DLP solution	Med	2026	Monitor progress
7	Conduct annual BCP failover testing	Med	Annual	Monitor progress
8	Expand background checks to include credit and education	Low	Ongoing	Monitor progress
9	Document valuation committee meeting minutes	Med	Quarterly	Monitor progress
10	Reconstitute valuation committee with non-investment majority	Med	2026	Monitor progress
11	Separate compliance function from investment committee	Med	2026	Monitor progress
12	Formalize carry vesting schedule for RREF III	Low	Pre-final close	Monitor progress
13	Monitor affiliate transactions under LPA Section 6.04	Med	Ongoing	Monitor
14	Monitor SEC examination developments	Med	Ongoing	Monitor
15	Ensure Administrator receives audited financials directly from auditor	Med	Post-first audit	Monitor progress

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Chapter 1

Manager, Ownership & Governance

GREEN

Chapter 1: Manager, Ownership & Governance

Management Company and Affiliates

Ridgeline Capital Management, LLC ("Ridgeline", the "Manager") serves as Manager and maintains its sole office in Los Angeles (CA). The firm was founded by Nathan Hadley (Founder / Managing Director) in 2020, after a decade of having served as Head of the Western U.S. for Walton Capital Management's opportunistic real estate strategy.

Ridgeline indicated that it moved to a larger office space within the same building in August 2025 in order to accommodate the growth of its staff. The Manager confirmed that the transition to the new space was smooth.

Assets under Management

Ridgeline reported assets under management ("AUM") of \$375 million (excluding \$590.3 million of uncalled capital commitments) as at June 30, 2025. Alpine defines AUM as net asset value ("NAV") excluding uncommitted capital. Per Alpine's regulatory AUM analysis, regulatory AUM ("RAUM") reported to the United States Securities and Exchange Commission ("SEC") was \$661.8 million as at June 30, 2025. Alpine notes that RAUM reported to the SEC must follow certain calculation methodologies (e.g. using gross assets). As such, RAUM will generally differ from industry standard AUM reporting due to these reporting variations.

The Manager operates its flagship real estate strategy across three fund vintages. The strategy focuses on real estate opportunities within the middle market, with a heavy emphasis on multifamily and industrial assets located primarily in the Western U.S. and Texas. The firm is currently fundraising for the third vintage in the series, Ridgeline Real Estate Fund III, L.P. ("RREF III"). RREF III initiated a rolling first close on April 21, 2025 and had raised \$293.2 million in capital commitments as at June 30, 2025. The vehicle is targeting \$750 million in total capital commitments, subject to a hard cap of \$850 million, with a final closing anticipated for Q2 2026.

In addition, the firm runs two credit joint ventures with Beacon Capital Partners, which target a lower return profile than the requirements for the flagship funds. The first vehicle was launched in 2021 with \$75 million in commitments, while the second vehicle was launched in 2023 with \$50.5 million in commitments. Ridgeline added that once the two vehicles are liquidated, it does not expect to launch additional credit joint ventures with Beacon Capital Partners. Furthermore, Alpine notes that the accounts are self-administered and utilize the same auditor as the firm's flagship products.

Insider Investment

The Manager represented that insider investment as at June 30, 2025 was approximately 0.8% of the firm's total commitments, equivalent to \$8.5 million. Alpine notes that this amount is somewhat low compared to peers where appropriate alignment of interest is typically gauged with internal commitments of 1% to 3%. In addition, the firm represented that internal commitments do not represent a significant portion of the liquid net worth of the firm's key employees. Investors should monitor the degree to which insiders choose to retain personal capital within the firm's products.

The firm relies on a cashless contribution mechanism for general partner commitments whereby only a fraction will be funded in cash (80%), with the balance (20%) via a reduction in management fees. Alpine notes that this arrangement serves to reduce the alignment of interests between management and external investors. Looking forward, investors are recommended to monitor whether insiders will reinvest carried interest received from prior vintages and continue to commit 1% of capital commitments.

Alpine understands that insider capital allocates pari passu to external investors, except for the absence of management fees and carried interest.

Ownership & Succession

The firm is 100% owned by Nathan Hadley (Founder / Managing Director). Alpine highlights the reliance on Nathan as founder and sole owner, and would prefer to see a more diversified ownership base in place.

The Manager has a seed investor relationship with Beacon Capital Partners. The firm stated that as part of the arrangement, Beacon Capital Partners participates in the carried interest generated by the first three fund vintages of Ridgeline's real estate strategy, as well as receives a break in fees. The Manager added that the arrangement will be terminated after RREF III.

Alpine notes that the Manager has not established a formal succession plan, and that the firm does not carry key person / life insurance. Given key person risk, the firm could usefully consider developing a formal succession plan. Insurance policies would also provide some comfort regarding business continuity.

Human Resources

As at June 30, 2025, Ridgeline had a total headcount of 14.

With respect to notable departures, the firm stated that Mark Donnelly (former Managing Director) departed in 2023. Mark was initially brought on to assist with the firm's potential credit closed-ended fund, however, the Manager decided to focus on its flagship series instead. In addition, the firm noted the departure of Ryan Caldwell (former Vice President) in 2024, who left to oversee his family's real estate portfolio. Helen Park (former Vice President) departed in 2025 as she needed to relocate due to personal reasons. The Manager confirmed that all departures were amicable with no ensuing litigation.

Conversely, the firm hired David Rosen (Controller) and Katherine Frost (Vice President, Investments) in 2024 and 2025, respectively. Ridgeline also hired four Investment Analysts / Associates and a Senior Accounting Associate over the past year.

Looking forward, Ridgeline anticipates hiring an additional investment analyst / associate over the coming six months.

The Manager employs the firm's staff directly and indicated that it conducts background checks on all new hires, including references and criminal records, with the assistance of an external background check provider, TrueVerify. However, the verification does not include credit and education records. Alpine would prefer to see background checks include such items. The Manager noted that updates are performed prior to the launch of a new fund vintage.

Staff are compensated with a base salary and a discretionary bonus contingent on individual and firm performance, with certain staff awarded carry in the underlying funds. The Manager noted that it had not implemented a vesting schedule for carried interests for its first two products, however, was in the process of formalizing a vesting schedule for RREF III. Investors are encouraged to monitor developments in this area.

Sarah Kwon serves as the Manager's Chief Financial Officer ("CFO") and is supported by David Rosen (Controller) and Carmen Reyes (Associate, Finance) in back office functions.

Chapter Summary

GREEN

Overall, no material diligence issues were identified at the management company level, which supports a Green rating for *Manager, Ownership & Governance*. Nonetheless, Alpine highlights the reliance on Nathan Hadley (Founder / Managing Director) as founder and sole owner, and would prefer to see a more diversified ownership base in place.

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Chapter 2

Legal, Regulatory & Compliance

YELLOW

Chapter 2: Legal, Regulatory & Compliance

Regulatory Oversight

Ridgeline has been a registered investment adviser with the SEC since November 1, 2023.

The Manager was subject to a new registrant SEC examination which began in August 2024. Alpine notes that the examination resulted in several findings related to updates to the firm's compliance manual and Form ADV and Form PF Filings. In addition, the SEC noted that certain legacy investments managed by Nathan Hadley (Founder / Managing Director) should be disclosed and registered as part of the firm's AUM. Ridgeline represented that it remediated all such findings. Alpine was permitted to review the SEC's findings letter (dated September 28, 2024) and the Manager's response letter (dated October 28, 2024) in soft copy, corroborating the Manager's representation. Alpine notes that the firm was provided with a separate findings letter (dated July 31, 2025), for which it responded on August 30, 2025, both of which were also provided for review in soft copy.

Compliance Infrastructure and Policies

Alpine highlights that Ridgeline does not have a dedicated Chief Compliance Officer ("CCO"), with Sarah Kwon taking responsibility for compliance oversight in addition to her role as CFO. Sarah is responsible for the day to day compliance functions, with assistance from David Rosen (Controller) for certain tasks. Furthermore, Alpine highlights that Sarah Kwon is a voting member of the firm's investment committee. While Sarah does not have any involvement in sourcing or underwriting investments and sits on the investment committee for fund-level finance and compliance interests, Alpine nonetheless highlights that her role as a voting member on the investment committee and as head of compliance presents a segregation of duties issue. Alpine would prefer to see enhanced segregation of duties where compliance is separate from the investment committee.

The firm also has access to external compliance consultants, Ironclad Compliance Group ("Ironclad"), who are used to support the firm's compliance program.

Ridgeline has a written compliance manual, dated October 2024, that was provided to Alpine for review in soft copy. The document appears to be reasonably detailed, covering key compliance policies and procedures. Staff are required to read the compliance manual and sign a declaration to confirm their agreement to comply with the policies and procedures upon joining the firm and annually thereafter.

The Manager has implemented a compliance training program with training sessions offered annually by Ironclad. Training covers key regulatory / compliance topics. The last training session was held in February 2025.

Personal Trading

The Manager has a written personal trading policy, which is a component of the firm's compliance manual. Employee personal trading is permitted, with pre-clearance required for reportable securities. However, Alpine notes that the personal account dealing policy does not include a minimum holding period on transactions. The implementation of a minimum holding period eliminates the appearance of conflicts of interest associated with short-term trading activity.

The Manager confirmed that it receives all employee brokerage statements directly from the brokers through the CompliTrack software and that personal trading activity is limited across the firm.

Trade Errors

Due to the nature of its investment strategy, trade errors are not anticipated and the Manager has not implemented a specific trade error policy.

Soft Dollars

The Manager confirmed that it does not engage in soft dollars or commission sharing.

Expert Networks

Ridgeline confirmed that the firm does not use the services of consultants linked to expert networks.

Anti-Money Laundering / Know Your Customer

The Manager represented that anti-money laundering ("AML") and know-your-customer ("KYC") verifications are conducted by third party administrators.

Claims, Actions, and Conflicts

The Manager represented that prior to starting Ridgeline, Nathan Hadley and several of his colleagues at Walton were involved in business litigation with a local operating partner that was successfully resolved in Walton's favor.

Apart from the above, Ridgeline represented that neither the management company, its affiliates nor any of its employees have been the subject of any action, claim, investigation, or litigation. Alpine recommends that investors conduct a periodic background check on the Manager, any relevant affiliates, and senior employees to verify this representation.

Alpine highlights that the Manager does not maintain a formal restricted list. Alpine would prefer for Ridgeline to maintain a formal list to restrict trading activity on names where the firm has obtained material non-public information.

Ridgeline has a combined Directors' and Officers' / Errors and Omissions ("D&O / E&O") insurance policy to protect the Manager and Directors against claims or litigation for unsatisfactory or negligent management with total coverage of \$2 million. Alpine understands that the cost of the policy is charged to the management company and the funds based on AUM from the previous quarter.

Chapter Summary**YELLOW**

While Ridgeline has established a baseline level of controls over its compliance environment, Alpine highlights that Sarah Kwon serves as both part of the investment committee and head of compliance. Alpine would prefer to see enhanced segregation of duties where compliance is separate from the front office team. This observation drives a Yellow rating for *Legal, Regulatory & Compliance*.

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Chapter 3

Technology, Cybersecurity & Business Resilience

YELLOW

Chapter 3: Technology, Cybersecurity & Business Resilience

IT Overview

IT functions have been outsourced to IT solutions provider, Nexus Business Solutions Group ("Nexus"). Internal to the firm, Sarah Kwon (CFO / CCO) and David Rosen (Controller) are the point persons responsible for liaising with Nexus on IT related matters.

The firm leverages the Citrix ShareFile and Microsoft Office 365 cloud based solutions. As such, the Manager maintains limited hardware onsite. Alpine highlights that the Manager expects to migrate to Microsoft SharePoint in the coming months. Investors are encouraged to monitor developments in this area.

With respect to backup procedures, Alpine understands that Ridgeline primarily relies on the redundant backup features built into the cloud environment.

Cybersecurity Controls

The Manager has a formal cybersecurity policy, dated March 2025, which was made available to Alpine for review in soft copy. The document incorporates elements from third party cybersecurity frameworks such as NIST and ISO 27001. Alpine is pleased to see the Manager following a regimented approach to cybersecurity. However, the Manager does not maintain a formal incident response plan beyond cursory information contained in its business continuity plan (not specific to cyber crime). Alpine would prefer the Manager prepare a response plan, given the inevitability of breaches.

The firm has also instituted an annual cybersecurity training program, with the latest session held in 2025. Alpine notes that training is conducted by Nexus. Training sessions include discussions on cybersecurity related matters and best practices, as well as phishing tests (conducted throughout the year).

Ridgeline has implemented a data loss prevention program that includes enforced user access controls to applications and sensitive data by function (reviewed monthly). Moreover, user accounts are password protected, but users are not required to periodically change such passwords. Alpine notes that the password policy's rules and restrictions include complexity requirements and restrictions on password recycling and sharing.

The Manager has implemented a data loss prevention solution to protect against sensitive data from the firm's endpoint devices (i.e. desktops, laptops, smart phones, and / or tablets) being transferred outside the network through the use of removable drives without the firm's knowledge. Alpine highlights, however, that access to employee personal email and personal cloud storage accounts has not been restricted; Alpine would prefer that the firm implement a complete data loss prevention solution. In partial mitigation, the Manager monitors for the transfer of large files externally.

The firm has implemented adequate network security controls to prevent external cybersecurity attacks including a firewall, intrusion detection system, antivirus protection, malware detection, and anti-spam protection solutions. The Manager indicated CyberEdge Testing has been engaged to conduct penetration testing annually. To that point, the firm represented that the latest test was conducted in April 2025 and did not result in any material findings. Looking forward, the Manager expects to rotate the service provider engaged for penetration testing.

The Manager stated that it experienced a recent incident where an employee laptop was stolen. Ridgeline confirmed that it was able to wipe the laptop within one hour and that no data was lost or compromised.

Business Continuity

The Manager has a written business continuity plan ("BCP"), dated Q2 2025, which was provided to Alpine for review in soft copy. Alpine notes that Ridgeline does not complete BCP failover testing on an ongoing, annual basis. Alpine would prefer to see Ridgeline proactively ensuring the adequacy of the BCP. To this point, the Manager stated that it would consider implementing such a procedure. Investors are encouraged to monitor developments in this area.

The Manager stated that in the event staff are unable to access the firm's premises, employees are equipped with mobile email devices and laptops that could be used to remotely log in to the firm's servers using a VPN connection secured by dual factor authentication.

Chapter Summary

YELLOW

The Manager does not maintain a formal incident response plan beyond cursory information contained in its business continuity plan (not specific to cyber crime). Alpine would prefer the Manager prepare a response plan, given the inevitability of breaches. This drives a Yellow rating for *Technology, Cybersecurity & Business Resilience*. Separately, Alpine notes that Ridgeline does not complete BCP failover testing on an annual basis. In addition, Alpine would prefer that the firm implement a complete data loss prevention solution.

ALPINE

Chapter 4

Fund Structure, Terms & Investor Alignment

GREEN

Chapter 4: Fund Structure, Terms & Investor Alignment

Legal Structure

Ridgeline Real Estate Fund III, L.P. (the "Fund") was formed in Delaware on November 4, 2024 and has not commenced operations. Ridgeline Real Estate Fund III Feeder, LP (the "Feeder Fund"), a Delaware limited partnership, serves as a feeder entity for investors coming through foreign income entities.

Ridgeline GP III, LLC (the "General Partner"), a Delaware limited liability company, serves as the General Partner.

Furthermore, the Manager confirmed that special purpose vehicles ("SPV") are expected to be established as wholly owned subsidiaries of the Fund to hold certain investments for legal, tax and regulatory matters. In addition, Ridgeline Real Estate Fund III Blocker, LLC has been established as a wholly owned subsidiary of the Feeder Fund. On balance, while this is a relatively common feature in private capital fund complexes, the wide range of SPVs and other blocker entities across the overall Fund structure unavoidably increases the degree of accounting and operational complexity: investments must be tracked all the way from the underlying portfolio asset level accounts through to the top-level investor accounts.

Investors should also note that engagement letters with certain key service providers (i.e. auditor and banking counterparty) have not been executed. To that point, the Manager indicated that such relationships will be formalized upon the Fund's commencement of operations.

The Fund's limited partnership agreement ("LPA"), dated April 21, 2025, contains a provision regarding warehoused assets. To this point, Ridgeline represented that it does not expect these types of transactions to occur for the Fund.

Key Terms

The Fund is expected to offer limited partnership interests denominated in USD. The LPA allows the General Partner to make distributions in kind. Given the Fund's strategy, Alpine understands that this is not expected to occur in practice.

The Fund is expected to issue side letters, some of which may provide for preferential fees due to the size and timing of the investment.

Fee Structure

The Fund charges a management fee of 1.5% per annum on committed capital during the investment period, stepping down to 1.5% on invested capital thereafter. The carried interest is 20% above an 8% preferred return hurdle, with a 50/50 catch-up provision until the 20% carry threshold is achieved. Alpine considers these terms to be within the range of market norms for middle-market real estate funds.

With respect to expenses, the LPA indicates that the Fund will bear all costs and guarantee fees, travel and entertainment expenses (including expenses related to attendance at conferences) in connection with the evaluation, sourcing, investigation, development, acquisition or consummation, ownership, maintenance, monitoring, hedging or disposition of investments; software costs; costs of any services provided by the General Partner or its Affiliates in accordance with the LPA; consulting fees; property management, leasing, construction management, development, environmental and other similar services; and printing, communications, marketing, and publicity, including fees and

costs of any third party service providers.

In practice, the Manager represented that due diligence costs of consummated deals and unconsummated deals, as well as due diligence related travel fees are expected to be charged to the Fund.

Alpine highlights that the LPA contains a provision stating that the Fund may enter into one or more arrangements with affiliates of the Manager whereby such affiliates would provide property management, leasing, maintenance, construction management, property-related legal, and similar services to the Fund. Furthermore, the LPA states that such fees paid to affiliates shall be consistent with those generally available in arm's-length transactions with third parties, or approved by the General Partner with LPAC consent. Alpine highlights that the audited financial statements for the prior vintage (Ridgeline Real Estate Fund II, LP) for the year ended December 31, 2024, indicate that the fund has entered into an operating partnership with the Manager which provides management and development services to the properties in which the fund has an ownership interest. As of December 31, 2024, the fund had \$46,120 payable to the Manager, which relates to various expenses incurred on behalf of the fund. In practice, the Manager represented that it does not expect such affiliate transactions to occur with respect to RREF III, as it expects to outsource such services to third parties. Nonetheless, investors are encouraged to monitor developments in this area.

Organizational expenses are expected to be subject to a cap of \$1.75 million. Furthermore, additional sources of revenue that are generated by the Manager (i.e. annual monitoring fees and transaction closing fees) would be offset 100% against future payments of the management fee. The Manager does not expect to generate such fees in practice.

The Fund has not yet begun operations and, as such, has not been subject to an audit. Investors should monitor the level of operating expenses and other non-investment-related fees charged through the Fund when audited accounts are available. As a proxy, the Manager provided the audited financial statements for the prior vintage for the reporting period ending December 31, 2024, which indicate that the main expense items were organizational costs (\$50,833), legal fees (\$143,593), professional fees (\$177,921), audit and tax fees (\$112,350), and investment deal expense (\$159,942).

Corporate Governance

Limited partnerships do not operate under the supervision of a Board of Directors. The functional equivalent is the General Partner, which, in this instance, is an affiliate of Ridgeline. As a result, there is no possibility of independent oversight equivalent to what is usually accomplished by the Board of Directors of an offshore fund structured as a corporation.

According to the Fund's LPA, the General Partner is expected to establish an Advisory Committee (commonly referred to as a Limited Partners' Advisory Committee ("LPAC")) comprised of approximately five representatives from the Fund's investor base. Alpine understands that the General Partner is expected to meet with the LPAC on at least an annual basis and that the LPAC is expected to advise on certain matters, including potential conflicts of interest. The LPAC is not expected to be involved in the valuation process. Investors are encouraged to refer to the Fund's LPA for the full list of approval rights granted to the LPAC. While Alpine welcomes this attempt to introduce a degree of independence to the Fund's governance, Alpine notes that investor committees suffer from their own conflicts of interest, as the welfare of individual investors will not always align with those of investors as a group. Given that investor committee members are typically selected based on commitment size, even when such criteria may not be explicitly spelled out in fund legal documents, Alpine notes that the interest of smaller LPs may not be appropriately represented.

Investment Strategy

The Fund is a closed-ended vehicle which will seek to invest in real estate opportunities within the middle market, with a heavy emphasis on multifamily and industrial assets located primarily in the Western U.S. and Texas. The majority of investments are expected to be industrial and multifamily opportunities, with the rest of the capital allocated to non-performing loans, rescue capital, and other asset types such as self-storage. Furthermore, the Fund will invest across the capital stack in equity, preferred equity, and mezzanine debt.

The targeted equity invested per deal will range from \$10 to \$40 million, with an expected investment pace of two to three years, and a hold period of three to seven years. Once fully invested, the portfolio is expected to hold 30 to 40 investments.

The Fund's LPA also contains restrictions on investments. Investors are encouraged to refer to the list.

Chapter Summary

GREEN

Overall, no material issues were identified with respect to the Fund, its legal structure, terms of investment, or fees and other allocable operating expenses. This supports a Green rating for *Fund Structure, Terms & Investor Alignment*. Nonetheless, Alpine reiterates that the Fund's key service providers (i.e. auditor and banking counterparty) have not been appointed at this time. In addition, the wide range of SPVs and other blocker entities across the overall Fund structure unavoidably increases the degree of accounting and operational complexity. In addition, Alpine highlights that the LPA contains a provision stating that the Fund may enter into one or more arrangements with affiliates of the Manager whereby such affiliates would provide services to the Fund. In practice, the Manager represented that it does not expect such affiliate transactions to occur with respect to RREF III. Nonetheless, investors should monitor the level of operating expenses and other non-investment-related fees charged through the Fund when audited accounts are available.

ALPINE

Chapter 5

Service Providers, Delegation & Oversight

GREEN

Chapter 5: Service Providers, Delegation & Oversight

Provider Roster

Pinnacle Fund Services, Inc. ("Pinnacle", the "Administrator") has been engaged to provide administration services for the Fund and other entities in the Fund structure, including portfolio accounting, partnership capital accounting, and NAV calculation services from its offices in Denver (CO), Oaks (PA), and New York (NY).

Alpine was permitted to review the fund administration agreement, dated April 26, 2025, in soft copy. It is notable that Pinnacle's liability under the administration agreement is capped at the amount of fees paid in the preceding three months. Clearly, this is a significant restriction on investors' ability to hold the Administrator to account, as the cap is immaterial in the context of the overall AUM of the Fund.

The Manager represented that it engaged DataBridge as administrator for the prior two vintages. Due to turnover at DataBridge and a decline in accuracy and work produced, the Manager switched to Pinnacle for the Fund and the prior fund vintage (RREF II). At the time of this review, the Manager was in the process of transitioning from DataBridge to Pinnacle for RREF II, with the administrators operating in parallel for a period of time to ensure a smooth transition. Alpine understands that DataBridge continues to be engaged as administrator for RREF I. While Alpine has no immediate concerns over such an arrangement, Alpine highlights that having two different fund administrators inherently adds undue operational complexity for the firm.

The Fund's auditor is expected to be Redpath Morrison. As at the time of this review, the engagement letter with Redpath Morrison had not yet been signed. While Alpine notes that Redpath Morrison is not a top tier auditor, it is, however, a well known mid tier auditor.

Chapter Summary

GREEN

No material issues were identified with respect to the Fund's service provider roster, supporting a Green rating for *Service Providers, Delegation & Oversight*. Alpine notes the use of two different administrators across the firm's product line and recommends investors monitor this arrangement over time. Additionally, the auditor engagement letter had not been signed at the time of this review.

ALPINE

Chapter 6

Investment Operations & Portfolio Controls

YELLOW

Chapter 6: Investment Operations & Portfolio Controls

Portfolio Management Systems

As the Fund is expected to follow a closed-ended strategy, it is expected to engage in private transactions rather than active trading. Trading, accounting, and reconciliation issues, therefore, relate to the flow of money to fund deals, the return of cash upon disposition of the asset, and distributions to limited partners.

Alpine notes that Ridgeline operates without a formal, third party deal management system, and instead will rely on Microsoft Excel ("Excel") to track the deal pipeline. Alpine would prefer to see the firm implementing a more robust framework. Furthermore, Alpine notes that Ridgeline currently operates without a formal, third party accounting system and is consequently reliant on Pinnacle to maintain and reconcile the formal accounting books and records. The Manager does, however, track individual cash transactions and aggregate cash balances internally.

Pinnacle confirmed that it is expected to maintain the Fund's formal books and records using Investran as its accounting platform.

Due to the nature of its investment strategy, the Fund's transaction volume is expected to be relatively low. Ridgeline relies on an extensive network of industry professionals and relationships to source prospective investment opportunities, which are reviewed by the investment team during weekly meetings. Alpine notes that the Fund is expected to hold approximately 30-40 investments once fully invested. In terms of the deal pipeline, the Manager could not give specifics regarding the average number of deals evaluated and closed per year, stating that it varies and is largely dependent on the market. On this note, the firm stated that it has evaluated approximately 100 opportunities in 2025 to date, none of which have been closed.

Investment Decision Process

Investment decisions are made by the Investment Committee ("IC"), which is comprised of Nathan Hadley (Founder / Managing Director) and Sarah Kwon (CFO / CCO). Ridgeline represented that investment approval requires a unanimous vote of the IC. Alpine reiterates that while Sarah does not have any involvement in sourcing or underwriting investments and sits on the investment committee for fund-level finance and compliance interests, Alpine nonetheless highlights that her role as a voting member on the investment committee and as head of compliance presents a segregation of duties issue. Alpine would prefer to see enhanced segregation of duties where compliance is separate from the investment committee. In partial mitigation of the above, Alpine notes that investment approval requires a unanimous vote from both Sarah and Nathan.

Investment Allocation

The Manager has a written investment allocation policy, which is a component of the compliance manual. In practice, the Manager represented that the prior vintage is expected to be fully invested prior to the Fund commencing operations, and that there is no expected investment overlap between the Fund and other vehicles managed by Ridgeline. Furthermore, Alpine notes that compliance has oversight over the allocation process. However, given that the firm's CCO also serves on the IC, Alpine notes that the allocation process would ultimately not be subject to independent oversight and would not be seen as a robust control unless segregation of duties is implemented.

The Fund may offer co-investment opportunities to investors to serve as overflow vehicles. In practice, co-investment funds are typically not allowed to invest or divest from an investment at different times than the commingled products. Furthermore, the Manager noted that co-investment vehicles are allocated operating expenses on a pro rata basis with the funds.

Cash Tracking & Accounting

External to the firm, Pinnacle stated that it expects to perform daily cash reconciliations. Internally, Ridgeline represented that the back office is expected to perform monthly cash reconciliations. In practice, cash is expected to be monitored daily.

Cash Controls

The Fund is expected to maintain one or more operating accounts which will be utilized to fund investments, receive capital calls and make distributions to limited partners, and settle third party invoices. Alpine highlights that as at the date of the September 2025 meeting, the Fund's operating account(s) had not yet been opened. To this point, the Manager stated that it would likely engage Continental Bank as banking counterparty for the Fund. Investors are encouraged to monitor developments in this area.

Asset transfers from the Fund's operating account related to capital activities and operating expenses are expected to be controlled jointly by the Administrator and Manager under a maker / checker policy.

Alpine understands that in practice, a member of the back office will provide wire instructions to Pinnacle. The Manager noted that Pinnacle is expected to receive supporting documentation to support the validity of cash movements (e.g. legal documents for deals, invoices for third party operating expenses, etc.). In turn, Pinnacle is expected to process wires through the appointed bank's online treasury system. Ridgeline represented that wires are then subject to either approval from David Rosen (Controller) for wires related to operating expense payments that are below \$50,000, with all other wires subject to approval from either Nathan Hadley (Founder / Managing Director) or Sarah Kwon (CFO / CCO) for release.

The Manager represented that wires related to funding investments are expected to be initiated by David and subsequently approved by Nathan or Sarah. Alpine would prefer to see the Administrator incorporated into the treasury cycle.

Furthermore, Alpine highlights that, contractually, cash can be transferred externally upon only one signature. Alpine highlights that a dual signatory policy on all cash transfers is an unavoidable control to mitigate the potential for unauthorized cash movements. To this point, Alpine would strongly suggest investors request that the Manager amend its process to have a dual signature process for all wire transfers. In partial mitigation, Alpine notes that at least two separate individuals, as well as Pinnacle professionals, are involved under the maker / checker process for wires related to capital activities and operating expenses. In further mitigation, Pinnacle is expected to perform daily cash reconciliations which would promptly detect any unauthorized cash movement.

As previously noted, the Fund is pre-launch and, as such, the operating account in the name of the Fund had not yet been opened at the time of this review. Therefore, Alpine was unable to confirm the aforementioned authorized signatories. On a related note, investors should not make payments for capital calls to the Fund until Ridgeline has confirmed that it has opened the Fund's bank accounts and confirmed wire instructions directed to an account in the name of the Fund.

The Manager represented that signatures from both Nathan and Sarah are required to open an account in the name of the Fund.

The Fund has entered into a credit facility with Heritage Trust Company for the purpose of bridging capital calls. The facility has an overall borrowing capacity of \$80 million with an accordion up to \$200 million based on additional closes and final Fund size. The interest rate is Daily Simple SOFR + 245 bps and the commitment fee is 35 bps per annum. The LPA states that the Fund is limited to a maximum indebtedness of 15% of total capital commitments.

Chapter Summary

YELLOW

Alpine highlights that under current procedures, cash can be transferred externally upon only one signature. Alpine reiterates that a dual signatory policy on all cash transfers is an unavoidable control to mitigate the potential for unauthorized cash movements. This drives a Yellow rating for *Investment Operations & Portfolio Controls*. Alpine would strongly suggest investors request that the Manager amend its process to have a dual signature process for all wire transfers. In partial mitigation, Pinnacle is expected to perform daily cash reconciliations which would promptly detect any unauthorized cash movement. In addition, Alpine reiterates that Pinnacle is not expected to receive closing documentation independently of the Manager and will not independently confirm the existence of the portfolio's assets as part of the affirmation process at the inception of each transaction.

CONFIDENTIAL

ALPINE

Chapter 7

Valuation, Asset Existence & Investor Reporting

GREEN

Chapter 7: Valuation, Asset Existence & Investor Reporting

Valuation Controls

Alpine's starting point for a discussion of the Fund's pricing procedures is to recognize that, as with most closed-ended private equity structures, (i) the Fund is a finite life, capital commitment vehicle; and (ii) the General Partner receives a carried interest only upon a realization event. Valuations are provided to investors on a quarterly basis for indicative purposes only, with no contributions or redemptions of investor capital taking place based on those valuations. Given these characteristics, investors will have less sensitivity to valuation issues in the Fund than in an open-ended (i.e. hedge fund) vehicle allowing capital transactions based upon estimated net asset values.

Separately, the fact that a closed-ended structure pays the General Partner only on realized gains significantly reduces the incentive for the General Partner to manipulate intra-period pricing. As a private equity manager will not receive any incentive fee based on "paper profits", this equally reduces the risk of deliberate portfolio mispricing as compared to an open-ended hedge fund.

From a pricing perspective, the portfolio introduces high valuation risk and is expected to be comprised of solely Level 3 assets.

The Manager has an undated written valuation policy which was provided to Alpine for review in soft copy. Alpine would prefer for the document to be dated to reflect the frequency of updates. The valuation policy is reasonably detailed and encompasses all the instruments expected to be held in the portfolio. In addition, the valuation policy indicates that the IC has overall responsibility for the valuation process.

The Manager represented that its valuation committee has the same composition as its IC, and is comprised of Nathan Hadley (Founder / Managing Director) and Sarah Kwon (CFO / CCO). Alpine would prefer to see the committee represented by a majority of non-investment professionals to remove any appearance of conflicts of interest over the involvement of the committee in the pricing process. The committee meets on a quarterly basis and is responsible for reviewing portfolio valuation and resolving any arising discrepancies over pricing. Alpine notes, however, that the firm does not maintain valuation committee meeting minutes. Alpine would prefer to see valuation committee meetings formally documented, in line with industry best practice.

Internal to the firm, the Fund's portfolio is priced on a quarterly basis by the front office. Investments are typically held at cost for several months and subsequently priced using the cost or sales comparison approach or discounted cash flow ("DCF") models. The back office performs a quarterly validation of the accuracy of calculations and referenced inputs and a review for consistency over time.

Alpine notes that Ridgeline does not expect to appoint an external valuation agent. As such, all valuations will be prepared internally, subject only to annual oversight from the Fund's auditor. To that point, Redpath Morrison is expected to review the inputs and assumptions utilized in the Manager's models to price all Level 3 investments at fair value. The firm indicated that it expects the auditor to collect the underlying information and supporting documentation from the Manager. Furthermore, the Manager confirmed that the auditor has not raised any pricing challenges for the prior vintages. Alpine nonetheless strongly supports the appointment of an external valuation agent: such an appointment provides for a superior segregation of duties in the valuation process, additional independence, and further control confidence over valuation consistency and computational accuracy.

Given the allocation to Level 3 assets, it is notable that the Administrator is not expected to provide any external oversight with respect to the valuation of the Fund's portfolio. The Administrator will accept pricing at each quarter end without conducting any verification procedures.

Asset Existence & Verification

The Fund's assets are expected to be evidenced by private agreements that are not subject to traditional custody safekeeping. Ridgeline confirmed that all legal documentation for private transactions will be kept within the firm, with copies maintained by the relevant legal counsel.

From an existence perspective, several parties are expected to be involved in each transaction to ensure all investments are genuine. As such, any attempt to create a fictitious asset would require collusion among a number of Ridgeline professionals and external parties (e.g. legal counsel, bank, and the auditor). The Administrator confirmed that it expects to receive legal closing documentation from the Manager. As such, Pinnacle is not expected to receive closing documentation independently of Ridgeline and will not independently confirm the existence of the portfolio's assets as part of the affirmation process at the inception of each transaction. Furthermore, the Administrator is expected to receive monthly packages from underlying third party property managers forwarded by Ridgeline. Alpine would suggest the Administrator receive the monthly packages and closing documentation from a third party rather than from the Manager. Investors should request and monitor developments in this area. Furthermore, Alpine understands that the auditor is expected to test the entire private portfolio at year-end for existence independently.

Investor Reporting

The Administrator is expected to be responsible for issuing the Fund's final quarterly NAV, subject to review by Ridgeline. Investor statements are expected to be released to investors within 45 days of quarter-end and within 90 days of year-end.

All partnership capital accounting records are expected to be maintained by the Administrator using Investran. Pinnacle represented that carried interest waterfall calculations will be performed in Excel. Given the inherent complexity of the waterfall calculation and the potential for error associated with maintaining manual spreadsheets, Alpine would prefer to see a more powerful solution for this aspect of the NAV calculation. With respect to the waterfall calculations, the Manager confirmed that Pinnacle is responsible for performing calculations, while Sarah Kwon (CFO / CCO) is responsible for approving the calculations.

Alpine notes that Ridgeline is not expected to maintain in-house investor level accounting records, relying on the Administrator for this aspect of the NAV calculation. Alpine has no particular concerns over Pinnacle's ability to account for such items, but would prefer to see Ridgeline maintain parallel records in this area.

As a point of interest, the Manager indicated that there have been revised investor statements for its previous vintages which utilized DataBridge as administrator. As discussed in *Service Providers*, Alpine understands that the firm opted to engage Pinnacle as Administrator for the Fund and RREF II in light of a decline in servicing provided by DataBridge.

Financial Reporting Controls

The Fund's first financial reporting period will end on December 31, 2025 and, as a result, financial statements for the first period are not yet available. Alpine recommends that investors review the audited accounts when available to identify any presentational or footnote disclosure issues. The accounts will be prepared under U.S. GAAP.

Ridgeline represented that the Administrator will receive the audited financial statements from the Manager; Alpine would prefer to have the Administrator receive the annual audited financial statements directly from the auditor for onward distribution to investors.

Chapter Summary

GREEN

Internal controls over the pricing environment appear adequate: the Manager has implemented a satisfactory valuation framework which includes the involvement of a valuation committee and the back office to oversee internal valuations. Alpine also reiterates that the closed-ended structure of the investment vehicles alleviates the risk of deliberate mispricing. The combination of these factors supports a Green rating for *Valuation, Asset Existence & Investor Reporting*. Nevertheless, Alpine would prefer the valuation committee represented by a majority of non-investment professionals to remove the appearance of conflicts of interest over the involvement of the committee in the pricing process, as well as for meetings to be formally documented. Additionally, Alpine notes that Ridgeline is not expected to appoint an external valuation agent. As such, all valuations will be prepared internally, subject only to annual oversight from the Fund's auditor. Alpine strongly supports the appointment of an external valuation agent.

ALPINE

Chapter 8

Manager Transparency & LP Communications

GREEN

Chapter 8: Manager Transparency & LP Communications

Diligence Process Cooperation

The Manager was responsive and forthcoming throughout the due diligence process, providing requested documents promptly and making staff available for follow-up questions. There were no instances of evasion, delayed responses, or attempts to restrict the scope of Alpine's review.

Administrator Cooperation

Pinnacle was cooperative and provided independent confirmation of key operational arrangements via conference call. Pinnacle independently verified service provider engagements, described its operational procedures in detail, and confirmed cash control and wire authorization processes.

Disclosure Quality

The Manager proactively disclosed the SEC examination history, the administrator transition from DataBridge to Pinnacle, and the affiliate transaction provisions in the LPA. This level of candor is constructive and indicates a willingness to address operational gaps transparently.

Chapter Summary

GREEN

No issues were noted with respect to transparency during the due diligence process, supporting a Green rating for *Manager Transparency & LP Communications*.

Reference Data

1. Manager, Ownership & Governance

Field	Value
Manager name	Ridgeline Capital Management, LLC
Date of commencement of operations	2020
Manager legal structure	Limited Liability Company
Manager is publicly traded	No
Primary location	Los Angeles (CA)

Principals

Nathan Hadley, Founder / Managing Director

Source: Firm Materials | As of 2025-06-30

Nathan Hadley founded Ridgeline Capital Management in 2020 after approximately a decade of institutional real estate investment experience. Prior to launching Ridgeline, Nathan served as Head of the Western U.S. for Walton Capital Management's opportunistic real estate strategy.

Assets Under Management

Field	Value
AUM report date	June 30, 2025
Total AUM (NAV excluding uncommitted capital)	\$375 million
Uncalled capital commitments	\$590.3 million
RAUM (reported to SEC)	\$661.8 million
Manager offers regulated product structures	No
Manager runs separately managed accounts ("SMA")	Yes

Ownership & Insider Investment

Field	Value
Internal investors	Nathan Hadley [100.00%]
Controlling equity interest	Yes
Seed investor relationship	Beacon Capital Partners (carried interest participation; terminates after RREF III)
Insider investment (committed)	\$8.5 million (~0.8% of commitments)
GP commitment mechanism	Cashless (80% cash, 20% fee waiver)

Human Resources

Field	Value
Total headcount	14
Investment professionals	8
Back office professionals	4
Other (admin / support)	2
Manager uses 3rd party consultants	No
Employees are related / married	No
Background check provider	TrueVerify (references + criminal only; no credit / education)

2. Legal, Regulatory & Compliance

Regulatory Oversight

Field	Value
Securities and Exchange Commission	Registered Investment Adviser (since November 1, 2023)
SEC examination history	Aug 2024 new registrant exam; findings on compliance manual, Form ADV, Form PF; all remediated. Second findings letter July 31, 2025
Regulatory sanctions (past ten years)	No

Compliance Infrastructure and Policies

Field	Value
Compliance officer	Sarah Kwon (CFO / CCO)
Compliance consultant	Ironclad Compliance Group (verification exception — did not respond to Alpine's request)
Manager has a compliance manual	Received (dated October 2024)
Compliance officer is outsourced	No
Manager has SOC 1 / external controls report	No
Annual compliance training	Yes (by Ironclad; last session February 2025)
Personal trading policy	Yes (pre-clearance on reportable securities; no minimum holding period)
Brokerage statements received by compliance	Yes (via CompliTrack software)
Restricted list maintained	No

Claims, Actions, and Conflicts

Field	Value
Manager / affiliate / employee subject of civil or criminal litigation in past ten years	Yes — Nathan Hadley involved in business litigation at Walton Capital (resolved in Walton's favor)
D&O / E&O insurance	\$2 million combined coverage
Expert network usage	No

3. Technology, Cybersecurity & Business Resilience

Information Technology

Field	Value
Technology consultant	Nexus Business Solutions Group
IT infrastructure model	Cloud-based (Citrix ShareFile + Microsoft Office 365; migrating to SharePoint)
Limited onsite hardware	Yes

Cybersecurity Controls

Field	Value
Manager has a cybersecurity policy	Received (dated March 2025; incorporates NIST + ISO 27001)
Formal incident response plan	No (cursory information in BCP only)
Annual cybersecurity training	Yes (by Nexus; includes phishing tests)
Endpoint data loss prevention	Partial (removable drives restricted; personal email/cloud NOT restricted)
Network penetration testing	Yes (CyberEdge Testing; latest April 2025; no material findings)
Cybersecurity breach in past year	Yes (stolen laptop; wiped within 1 hour; no data loss)

Disaster Recovery / Business Interruption

Field	Value
Manager has a business continuity plan	Received (dated Q2 2025)
BCP failover testing (annual)	No
Remote work capability	Yes (VPN with dual-factor authentication)

4. Fund Structure, Terms & Investor Alignment

Corporate Structure

Field	Value
Domicile	Delaware
Date of incorporation	November 4, 2024
Date of commencement of operations	Not commenced (Pre-Launch)
Asset Class	Real Estate
Type of structure	Standalone with Feeder + Blocker + SPVs
General Partner	Ridgeline GP III, LLC
Feeder Fund	Ridgeline RE Fund III Feeder, LP
Blocker Entity	Ridgeline RE Fund III Blocker, LLC
Offering document date	April 21, 2025
LPAC	Expected (~5 members post-final close; annual meetings; not involved in valuation)

Terms

Field	Value
LP interests denominated in	USD
First Closing	April 21, 2025 (rolling; 90 days)
Current Fund Raise	\$293.2 million (as at June 30, 2025)
Target Fund Raise	\$750 million
Hard Cap	\$850 million
Expected Final Closing	Q2 2026
Distributions in kind	Permitted (not expected in practice)
Side Letters	Expected (some with preferential fees)
Warehoused assets	Permitted (not expected in practice)

Fee Structure

Field	Value
Management Fee (Investment Period)	1.5% on committed capital
Management Fee (Post-Investment Period)	1.5% on invested capital
Carried Interest	20% above 8% preferred return
Catch-up	50/50 until 20% carry achieved
Organizational expenses cap	\$1.75 million
Monitoring / transaction closing fee offset	100% against management fee (not expected in practice)

Investment Strategy

Field	Value
Strategy	Real Estate
Sub Strategy	Middle Market (multifamily, industrial, NPLs, rescue capital, self-storage)
Regional Focus	Western U.S. and Texas
Target equity per deal	\$10-40 million
Investment pace	2-3 years
Hold period	3-7 years
Target portfolio size	30-40 investments
Capital stack	Equity, preferred equity, mezzanine debt

5. Service Providers, Delegation & Oversight

Administrator

Field	Value
Administrator	Pinnacle Fund Services, Inc.
Administrator offices	Denver (CO), Oaks (PA), New York (NY)
Accounting platform	Investran
Administration agreement date	April 26, 2025
Administrator liability cap	Preceding 3 months of fees
Prior administrator (RREF I)	DataBridge

Auditor

Field	Value
Auditor	Redpath Morrison LLP (expected; engagement letter not yet signed)
Audit standard	U.S. GAAP

Other Providers

Field	Value
Credit facility provider	Heritage Trust Company (\$80M; accordion to \$200M)
Credit facility terms	Daily Simple SOFR + 245 bps; 35 bps commitment fee; max 15% of commitments
Expected corporate banker	Continental Bank
Compliance Consultant	Ironclad Compliance Group
Technology / Cybersecurity Consultant	Nexus Business Solutions Group
Penetration testing	CyberEdge Testing
Background check provider	TrueVerify

6. Investment Operations & Portfolio Controls

Portfolio Management

Field	Value
Deal Management System	Excel
Internal accounting system / general ledger	No
Manager tracks individual cash transactions	Yes (internally)
Manager tracks aggregate cash balances	Yes (internally)

Investment Process

Field	Value
Investment Committee	Nathan Hadley, Sarah Kwon
Investment approval	Unanimous vote of IC required
Investment Allocation Policy	Written (component of compliance manual)
Co-investments	Overflow vehicles; allocated operating expenses pro rata

Cash & Accounting

Field	Value
Administrator accounting platform	Investran
Administrator cash reconciliation	Daily
Internal cash reconciliation	Monthly (daily monitoring in practice)

Asset Transfers

Field	Value
Expected corporate banker	Continental Bank (operating account not yet opened)
Wire authorization	Sole signature (contractually); maker/checker with Pinnacle in practice
Operating expense wires <\$50K	David Rosen (Controller) approves

Field	Value
All other wires	Nathan Hadley or Sarah Kwon approves
New bank account opening	Requires both Nathan and Sarah signatures
Verification callback (prior vintages)	Yes for new instructions and above-threshold wires; not yet confirmed for RREF III

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7. Valuation, Asset Existence & Investor Reporting

Valuation Controls

Field	Value
Valuation policy	Received (undated)
Valuation committee	Nathan Hadley, Sarah Kwon (same as IC)
Valuation committee frequency	Quarterly
Valuation committee minutes	Not documented
External valuation agent	No
Valuation methodology	Cost initially; then cost / sales comparison / DCF models
Administrator role in valuation	Accepts Manager pricing; no independent verification

Investor Reporting

Field	Value
Quarterly reporting timeline	45 days post quarter-end
Annual reporting timeline	90 days post year-end
Accounting standard	U.S. GAAP
Manager approves reporting before issuance	Yes
Revised investor statements (prior vintages)	Yes (when using DataBridge as administrator)

Waterfall & Investor Records

Field	Value
Waterfall calculation method	Excel (prepared by Pinnacle; approved by Sarah Kwon)
Internal investor-level accounting records	No (maintained by Pinnacle in Investran)
Administrator receives audited financials from	Manager (Alpine prefers directly from auditor)

8. Manager Transparency & LP Communications

Field	Value
Manager cooperation during diligence	Full cooperation
Document provision	Prompt, no delays
Staff availability for follow-up	Yes
Evasion or scope restriction	None
Administrator cooperation	Full cooperation (independent confirmation provided)
Proactive disclosure of operational gaps	Yes (SEC exam history; DataBridge transition; LPA affiliate provisions)

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